

have such a simple balance sheet that it may not even be necessary. If there is nothing to show, you can't really show it, right?

Simply put, a balance sheet is a financial snapshot that shows your current financial health. You need to know what you have. It is essential in forecasting your financial health for the future. If the picture right now is nothing but zeros, you may not need to do a formal balance sheet. The point is to show your creditors that you're in the hole. You can accomplish the same thing with a two-sentence letter. We'll get to that in a couple paragraphs.

Income Statement

The other financial statement is the income statement. The balance sheet applies to a single point in time, i.e., as of today's date, I am broke. The income statement covers a particular period of time, i.e., for the entire month of June, I was broke.

The income statement shows what you made and what you spent for any given amount of time, one month, one quarter, or one year. It is a tracking of your cash flow – what came in and what went out. An income statement is also called a profit and loss statement.

For an individual, the income statement is very simple as well: What are all your sources of revenue? What are all your expenses?

Simply put: What came in? What went out?

With one glance at an income statement, you can see if you are spending more than you are making, and many of us do. Maybe you made \$40,000 and spent \$45,000. This obviously has you \$5000 in the red. Reverse it. You took in \$45,000 and outgoing cash flow was \$40,000. Now you are \$5000 in the black. Putting it down on paper is the key to understanding the spending path that you are on. These two simple financial statements are a great technique to show your financial situation.

Assets – Liabilities = No Money Left

A sample Balance Sheet and a sample Income Statement are included for you in the Appendix. These statements are vital for you